

RESOLUTION NO. 23

A RESOLUTION OF THE TOWN COUNCIL OF THE TOWN OF TELLURIDE, COLORADO, CONCERNING THE TELLURIDE HOUSING AUTHORITY AND ITS REVENUE BONDS (VOO DOO HOUSING PROJECT), AND DECLARING THE TOWN COUNCIL'S NON-BINDING INTENT TO APPROPRIATE OR PROVIDE FUNDS TO MAKE A DEPOSIT TO THE BOND FUND SECURING SUCH BONDS TO THE EXTENT THAT MONEYS ON DEPOSIT IN THE BOND FUND ARE NOT SUFFICIENT TO PAY THE DEBT SERVICE REQUIREMENTS ON THE BONDS WHEN DUE

WHEREAS, the Town Council (the "Town Council") of the Town of Telluride, Colorado (the "Town"), created the Telluride Housing Authority (the "Authority") for the purpose of, among other things, providing safe or sanitary dwelling accommodations in the Town that will substantially benefit low income persons and families; and

WHEREAS, the Authority, a public body corporate and politic of the State of Colorado, is authorized and empowered by the provisions of the Housing Authorities Law, being Part 2 of Article 4 of Title 29, Colorado Revised Statutes, as from time to time supplemented and amended, to issue revenue bonds for the purpose of providing residential housing that substantially benefits persons and families of low income; and

WHEREAS, the Board of the Authority (the "Board") has determined that there continues to be a lack of safe or sanitary dwelling accommodations in the Town available to low income persons and families and that it is in the best interest of the residents of the Town for the Authority to plan for and construct residential housing facilities and commercial facilities or office space pursuant to a single plan or undertaking to provide dwelling accommodations on financial terms within the means of persons of low income, or substantially benefitting persons of low income, with such project to be known as the Voo Doo Housing Project (the "Project"); and

WHEREAS, the Authority desires to issue one or more series of its Telluride Housing Authority Revenue Bonds (Voo Doo Housing Project), at one or more times, in a combined aggregate principal amount not to exceed \$25,000,000 (collectively, the "Bonds"), and has authorized the issuance of the Bonds pursuant to a resolution duly adopted by the Board on December 13, 2022 (the "Bond Resolution") to finance a portion of the cost of the Project; and

WHEREAS, in order to facilitate the Project, the Town has leased to the Authority certain real property pursuant to a Ground Lease dated November 22, 2022, that will be the site of the construction and location of the Project; and

WHEREAS, the Bonds will be payable from and secured by a lien on the Net Revenues (as defined in the Bond Resolution), which consists primarily of the revenues, income and rent received by the Authority from the Project, less the operation and maintenance expenses related to the Project; and

WHEREAS, the Bond Resolution provides that the Net Revenues are to be deposited in certain designated amounts every month in a bond fund created under the Bond Resolution (the "Bond Fund") and that moneys on deposit in the Bond Fund are required to be used to pay the debt service requirements on the Bonds, when due; and

WHEREAS, the Bond Resolution provides that in the event that the Executive Director of the Authority (the "Executive Director") determines at any time that there is not expected to be sufficient moneys on deposit in the Bond Fund to pay the next scheduled debt service requirements on the Bonds when due, the Executive Director shall notify the Town Manager in writing of the amount of the estimated deficiency in the Bond Fund and request that the Town make a deposit to the Bond Fund in the amount of such estimated insufficiency; and

WHEREAS, the Town Council wishes to make a non-binding statement of its intent with respect to the appropriation or provision of funds to make a deposit to the Bond Fund, if necessary, to the extent that moneys on deposit in the Bond Fund are not sufficient to pay the debt service requirements on the Bonds when due, and to authorize and direct the Town Manager to take certain actions for the purpose of causing requests for such appropriations or provision of funds to be presented to the Town Council for consideration; and

WHEREAS, terms not otherwise defined herein have the meanings assigned to them in the Bond Resolution.

NOW, THEREFORE, BE IT RESOLVED BY THE TOWN COUNCIL OF THE TOWN OF TELLURIDE, COLORADO:

Section 1. Deposit to Bond Fund.

A. As soon as practicable after receipt of written notice from the Executive Director that there is not expected to be sufficient moneys on deposit in the Bond Fund to pay the next scheduled Debt Service Requirements on the Bonds when due, including the estimated amount of such insufficiency, the Town Manager is hereby authorized and directed to prepare and submit to the Town Council a request for an appropriation or provision of a sufficient amount of funds to make a deposit to the Bond Fund in the amount of such estimated deficiency. It is the intention and expectation of the Town Council to appropriate or provide such funds as requested, within the limits of available funds and revenues, but this declaration of intent shall not be binding upon the Town Council or any future Town Council in any future Fiscal Year.

B. The Town Council may determine in its sole discretion, but shall never be required, to make the appropriations or to provide the funds so requested. All sums appropriated or provided by the Town Council for such purpose shall be deposited by the Authority in the Bond Fund and shall be applied to the next occurring payment of the Debt Service Requirements on the Bonds. In the event that the Authority receives money from the Town in excess of the amount necessary to pay such Debt Service Requirements on the Bonds when due, any such excess shall be returned to the Town. Moneys received from the Town under this Resolution shall be applied solely to the payment of Debt Service Requirements on the Bonds and shall not be applied to the payment of Debt Service Requirements of any Outstanding Parity Bonds

hereafter issued or to any other purposes of the Authority. This Resolution shall not create a general obligation or other indebtedness or multiple fiscal year direct or indirect debt or other financial obligation of the Town within the meaning of its Charter or any constitutional debt limitation, including Article X, Section 20 of the Colorado Constitution. Neither this Resolution nor the issuance of the Bonds shall obligate or compel the Town to make any deposits to the Bond Fund beyond those appropriated or provided in the Town Council's sole discretion.

C. As of the date of this Resolution, the Town Council acknowledges that the Bonds may be structured with a balloon maturity. The Town Council makes no representations that it will appropriate or provide moneys to pay any such balloon maturity due on the Bonds in the event that such balloon maturity is not refinanced.

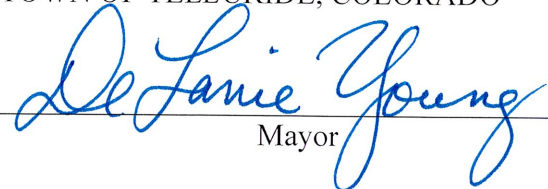
Section 2. Limitation to Bonds. Unless otherwise expressly provided by a subsequent resolution of the Town Council, the provisions of this Resolution shall apply only to making a deposit to the Bond Fund securing the Bonds that were authorized pursuant to the Bond Resolution and shall not apply to any other bond fund established in connection with the issuance of obligations secured on a parity with the Bonds.

Section 3. General Repealer. All prior resolutions, or parts thereof, inconsistent herewith are hereby repealed to the extent of such inconsistency.

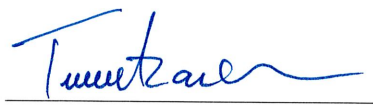
Section 4. Effectiveness. This Resolution shall take effect immediately upon its passage.

PASSED AND ADOPTED at a regular meeting of the Town Council of the Town of Telluride, Colorado this 13th day of December 2022.

TOWN OF TELLURIDE, COLORADO


Mayor

ATTEST:


Town Clerk

STATE OF COLORADO

COUNTY OF SAN MIGUEL

TOWN OF TELLURIDE

I, Tiffany Kavanaugh, the Town Clerk of the Town of Telluride, Colorado (the “Town”), do hereby certify:

- The foregoing pages are a true and correct copy of a Resolution (the “Resolution”) passed and adopted by the Town Council (the “Council”) of the Town at a regular meeting of the Council held on December 13, 2022.
- The Resolution was duly moved and seconded and the Resolution was adopted at the Town Council meeting of December 13, 2022, by an affirmative vote of the members of the Council as follows:

Name	“Yes”	“No”	Absent	Recused
DeLanie Young, Mayor	✓			
Jessie Rae Arguelles	✓			
Todd Brown	✓			
Lars Carlson	✓			
Adrienne Christy	✓			
Geneva Shaunette	✓			
Tom Watkinson	✓			

- The Resolution was approved and authenticated by the signature of the Mayor, sealed with the Town seal, attested by the Town Clerk and recorded in the minutes of the Council.
- There are no bylaws, rules or regulations of the Council that might prohibit the adoption of said Resolution.
- The members of the Council were present at the meeting and voted on the passage of such Resolution as set forth above.

Twist and

Tiffany Kavanaugh, Town Clerk

